

Costco Wholesale Corporation (COST)

Investment Memo — as of 2026-07-18

SELL

Target Price: \$283.26

Current Price: \$920.00

Upside/Downside: -69.2%

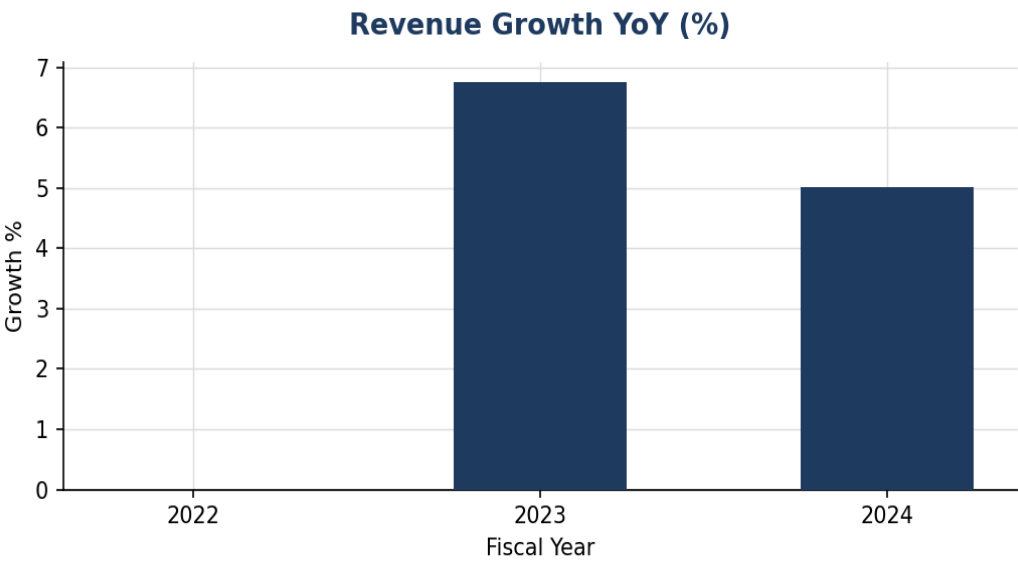
DCF-implied fair value of \$283.26 per share (-69.2% vs. current price) is derived entirely from the deterministic DCF engine above; no valuation figure in this memo was generated by the language model.

Industry Overview

Costco Wholesale Corporation operates in the membership warehouse retail segment, competing on scale-driven low pricing against big-box and e-commerce retailers. The category is characterized by thin merchandise margins offset by high-margin membership fee income, making member retention a key structural driver of profitability relative to pure-play grocery or discount retail.

Revenue Growth Analysis

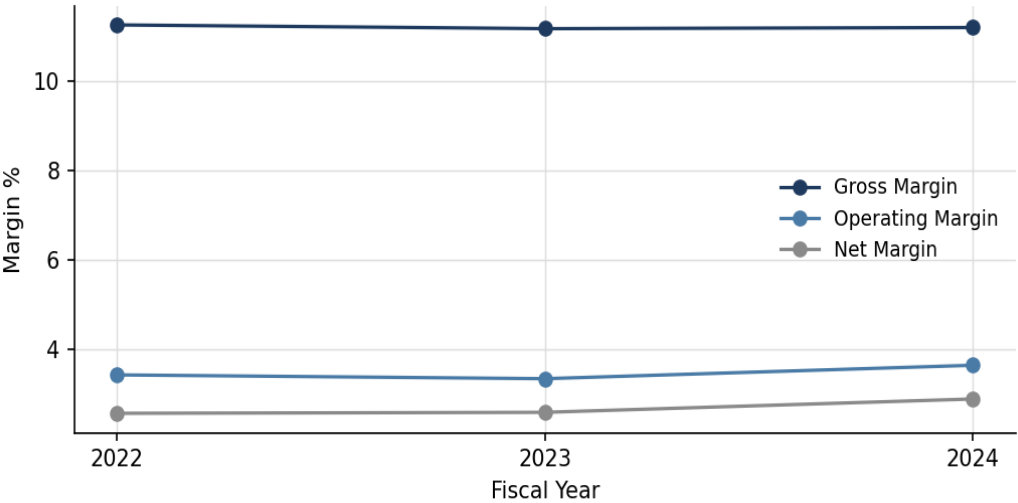
Revenue grew from \$227.0B to \$254.5B over the period shown, driven by comparable warehouse sales growth and continued e-commerce expansion (see chart below; figures are verified from the deterministic ratio engine, not LLM-estimated).



Margin Analysis

Operating margin has expanded modestly, reflecting operating leverage on membership fee income against a relatively stable merchandise gross margin -- consistent with the business model's low-margin/high-volume positioning.

Margin Trends

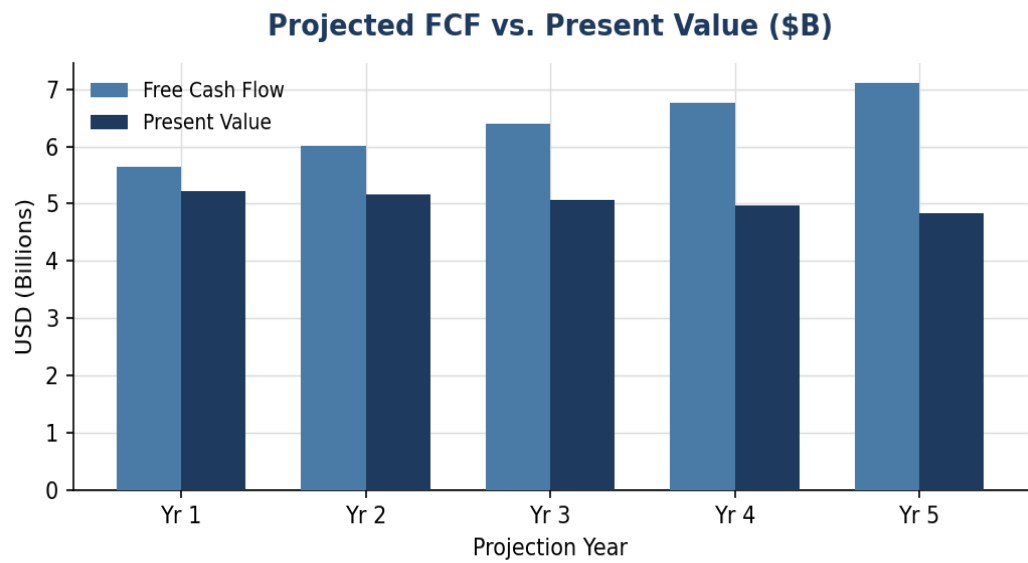


FY	Gross Mgn	Op Mgn	Net Mgn	ROE	Rev Growth	FCF Mgn
2022	11.3%	3.4%	2.6%	28.3%	—	1.5%
2023	11.2%	3.3%	2.6%	27.4%	6.8%	2.3%
2024	11.2%	3.6%	2.9%	27.8%	5.0%	2.6%

DCF Valuation

WACC 8.0%, terminal growth 2.5%, EBIT margin 3.6%, tax rate 25.0%, 5-year explicit projection period.

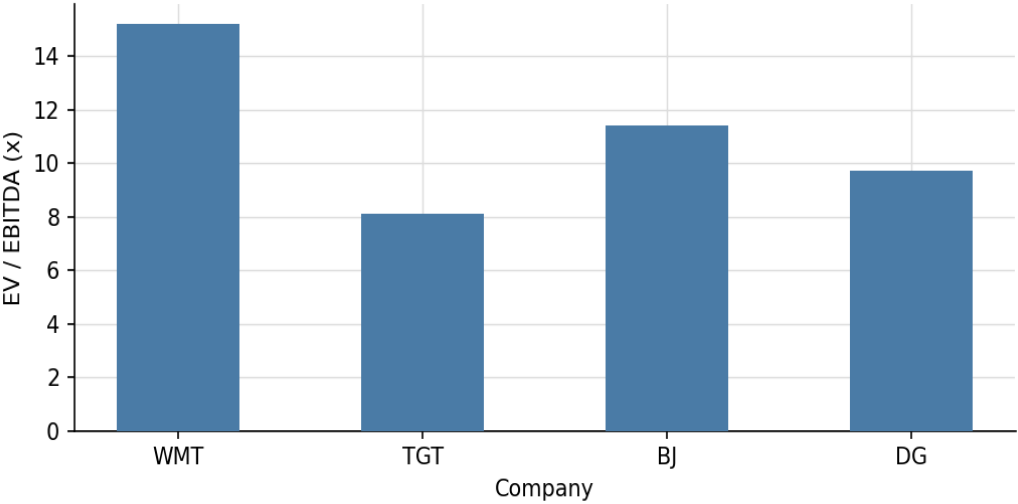
Sum of PV of FCF	\$25,266,891,057
Terminal Value	\$132,561,081,633
PV of Terminal Value	\$90,218,818,621
Enterprise Value	\$115,485,709,678
Equity Value	\$125,485,709,678
Implied Share Price	\$283.26



Comparable Companies

Ticker	Company	EV/EBITDA	P/E	EV/Rev	Rev Growth	Op Mgn
WMT	Walmart Inc.	15.2x	28.4x	1.1x	5.6%	4.4%
TGT	Target Corp.	8.1x	16.3x	0.6x	2.1%	5.5%
BJ	BJ's Wholesale Club	11.4x	19.8x	0.7x	4.1%	3.3%
DG	Dollar General Corp.	9.7x	17.5x	0.9x	3.2%	4.9%

EV / EBITDA - Peer Comparison



Risks

- (Risk) Labor Costs and Availability.
- (Risk) Supply Chain and Inventory Risk.
- (Risk) Item 1A.
- (Risk) The Company continues to invest in new warehouse openings, supply chain modernization including expanded regional distribution capacity, and technology investments intended to impr.

Sources:

- [1] COST_10K_FY2024.pdf, Item 1A. Risk Factors, p. 5
- [2] COST_10K_FY2024.pdf, Item 1A. Risk Factors, p. 4
- [3] COST_10K_FY2024.pdf, Item 1A. Risk Factors, p. 3
- [4] COST_10K_FY2024.pdf, Item 7. MD&A;, p. 7

Catalysts

- (Catalyst) The Company continues to invest in new warehouse openings, supply chain modernization including expanded regional distribution capacity, and technology investments intended to impr.
- (Catalyst) Item 7.
- (Catalyst) The Company's membership renewal rate has historically remained high, and management views membership fee income as a key indicator of member loyalty and satisfaction with the shop.

Sources:

- [1] COST_10K_FY2024.pdf, Item 7. MD&A;, p. 7
- [2] COST_10K_FY2024.pdf, Item 7. MD&A;, p. 6
- [3] COST_10K_FY2024.pdf, Item 1. Business, p. 2

This document was generated programmatically. Financial figures are sourced from SEC EDGAR XBRL data or bundled sample data as noted; DCF and ratio calculations were performed by a deterministic Python engine, not estimated by a language model. This is not investment advice.